Jack Farley & Max: Foreign Markets Crushing US Stocks

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⏱️ **5-Minute Version:** Watch Key Excerpts

Speaker Bios

> **Jack Farley** is co-host of The Monetary Matters Network. Former institutional investor focused on macro markets and cross-asset analysis.

> **Max** is co-founder of Fiscal AI and co-host of Other People's Money. Specializes in global equity market analysis and data-driven investment research.

Executive Summary

The "US exceptionalism" narrative crumbled in 2025. While the S&P 500 posted respectable +18% gains and absorbed record foreign capital inflows ($600-700B through Q3), it dramatically underperformed global markets. ACWI returned +22.4%, emerging markets surged +34%, and individual countries crushed US indexes: South Korea +95.3%, China +31%, Europe +35.6%, Japan +25.8%. Of 297 stocks >$5B market cap that doubled, China led with 81 companies versus US's 43. The US wasn't the only game in town—it was second-tier.

This performance divergence coincides with an unprecedented profit-labor decoupling. Corporate earnings soared while labor markets weakened, violating the traditional correlation where payroll growth drives profit growth. The mechanism: AI-driven productivity gains allow companies to expand margins without hiring. Interviewees cite examples from Levi's offshoring to LLM-enabled white-collar headcount freezes. The implication: 2026 could deliver recessionary employment readings alongside +15% profit growth—a regime never seen before.

Survey data shows 57% of investors fear AI bubble collapse as the top 2026 risk, yet only 9% rank US recession in their top concerns. This is backwards. The AI trade has procyclical fuel remaining (OpenAI raising $100B at $800B valuation signals capital availability), but tariff effects haven't fully transmitted through supply chains. The 17% effective tariff rate—down from liberation day's 40% threat—absorbed corporate margins without triggering inflation, but slow-motion margin compression could converge with labor weakness.

PM implication: Rotate out of US-only positioning into ex-US equities (EM, Korea, China, Europe beat S&P by 400-1600bps). Own memory semis (SK Hynix, Lam, Western Digital) not hyperscalers—they're +300-400% and continuing on HBM shortage. Long precious metals streamers (Franco-Nevada, Wheaton) for asymmetric upside with downside protection. Monitor OpenAI funding as gate for AI capex cycle. Don't auto-sell on weak payrolls if earnings hold—profit-labor divergence is new regime. Recession risk severely underpriced at 9% vs AI bubble fears at 57%.

Listen or Skip?

Verdict: Worth it

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★☆
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Global macro PMs, cross-asset allocators, investors overweight US equities

Skip if: Looking for single-stock deep dives or technical chart analysis

Key Quotes

1. > *"US assets did extraordinarily well in 2025, but they underperformed many foreign markets. They underperformed the world both in terms of the stocks not going up by as much and also the dollar itself was a drag."*
2. > *"The All Country World Index was up 22.4%. So, it beat the S&P 500, it beat the NASDAQ."*
3. > *"South Korea was up a whopping 95.3%."*
4. > *"China was number one at 81 companies… in the US, there were only 43 companies that exceeded the giant bogey of 100%."*
5. > *"Corporate profits have been soaring while the labor market has been stagnating. You look at corporate profits, you think the labor market would be way stronger than it is. You look at how weak the labor market, you think corporate profits would be way lower than they are."*
6. > *"Are we going to live in a world in 2026 where the labor market has recessionary readings but corporate profits are up 15%? That's possible. Stock market can soar, profits can soar as the labor market is really really really weak."*
7. > *"I don't think the AI trade is over. I think that there's an enormous amount of procyclicality in this trade."*
8. > *"Foreigners kept investing at a nearly record pace, but they hedged that currency risk a little bit more."*

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	`Risk-On`
Conviction	`Medium`
Time Horizon	`Cyclical (1-6m)`
Primary Domain(s)	`Equities` `FX` `Commodities`
Why Now?	Global 2025 returns show ex-US leadership; FX hedging turned USD into drag; profit-labor divergence creating new regime

Top 3 Investable Ideas:

1. **Overweight Ex-US Equities** — Tilt toward EM/Europe/Japan vs S&P; use ACWI ex-US or country sleeves to capture global breadth that beat S&P by 400bps
2. **Long Memory Semis** — SK Hynix, Western Digital, Lam Research riding HBM shortage for AI; +300-400% in 2025, continuing in 2026; more levered than hyperscalers
3. **Long Precious Metals Streamers** — Favor streaming companies (Franco-Nevada, Wheaton) over miners to capture metal upside with lower cost risk; survive 60% drawdowns

2) Key Investable Insights

Insight 1: Ex-US Equity Leadership

- **Claim:** Global equity leadership broadened outside the US in 2025; FX hedging erased part of US outperformance.
- **Asset Class:** Global Equities / FX

- **Mechanism:** Higher hedge ratios and USD drag reduce USD-based equity returns despite strong US local returns. ACWI beat S&P by 400bps; EM by 1600bps.
- **Expression:** `Long ACWX vs SPY` or `Overweight EM ex-US vs US mega-cap`; country sleeves (Korea +95%, China +31%, Europe +36%)
- **Trigger to Exit/Flip:** USD strengthens materially and ex-US relative earnings momentum rolls over.
- **Confidence:** Medium

Insight 2: AI Capex is Procyclical and Funding-Dependent

- **Claim:** AI capex is procyclical; the boom persists while capital remains available. Memory shortage has legs.
- **Asset Class:** Equities (Semis, Power, Data Center)
- **Mechanism:** VC and hyperscaler spend cascades into semis, power, and supply-chain demand. OpenAI raising $100B at $800B valuation gates the cycle.
- **Expression:** `Long SOX vs SPX` or `Long memory semis (SK Hynix, Lam, Western Digital)` or `Long power/data-center infrastructure equities`
- **Trigger to Exit/Flip:** A failed large AI funding round (OpenAI down round) or sharp capex guide cuts.
- **Confidence:** Medium

Insight 3: Profit-Labor Divergence Creates New Regime

- **Claim:** Profits vs labor market divergence can widen; equities can rise even with weak jobs if AI adoption drives productivity.
- **Asset Class:** Equities / Macro
- **Mechanism:** Productivity and hiring freezes lift margins while payroll growth softens. AI/LLM enables white-collar headcount reduction without firing.
- **Expression:** `Long high-margin tech vs labor-intensive cyclicals` or `Monitor payrolls but don't auto-sell on weak readings if earnings strong`
- **Trigger to Exit/Flip:** Broad earnings downgrades or reacceleration in labor costs.
- **Confidence:** Low-Medium

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3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/ Flows
Higher FX hedge ratios	Lower USD-based returns on US assets	Rotation to ex-US equities	USD vs ex-US equity beta	Higher hedge costs in high-rate regimes	Foreign allocators reduce unhedged USD exposure
AI capex boom	Semis, power, and infra outperformance	EM/Asia supply-chain bid	Growth vs value dispersion	Funding availability is the gate	Momentum crowding in AI complex
Precious metals bid	Gold/silver and streamers rally	EM FX support for commodity exporters	Inflation vs real rates sensitivity	Carry negative if real rates rise	Retail/ETF inflows in metals
Profit-labor divergence	Margins expand without hiring	Traditional recession signals break	Labor-sensitive cyclicals lag	N/A	Equity positioning ignores payrolls

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4) Regime & Scenario Analysis

- **Current Regime Fit:** Global risk-on with broadening leadership beyond US megacaps. Profit-labor decoupling suggests new regime where weak labor doesn’t automatically signal recession.
- **Base Case (60%):** Continued global equity leadership; AI capex sustains (OpenAI raises capital); ex-US outperforms through 2026 H1; recession fears remain underpriced.
- **Alt Case (40%):** AI capex rollover (OpenAI down round), USD rebound, labor weakness finally translates to earnings cuts, US equity outperformance resumes.
- **Anti-Thesis Trigger:** USD breakouts + ex-US earnings downgrades; OpenAI fails to raise capital; labor costs reaccelerate.

- **Tail Risks:** AI funding shock, private credit stress, hard-landing recession that triggers cross-asset liquidation.

5) Hard Data & Verifiable Claims

- **Data:** Net foreign inflows into US assets ~$600-$700B (first three quarters of 2025).
- **Data:** ACWI total return ~22.4% in 2025.
- **Data:** EM MSCI ETF total return ~34% in 2025.
- **Data:** S&P 500 total return ~18%; NASDAQ ~20%; Russell 2000 ~12.5%.
- **Data:** South Korea total return ~95.3% in 2025.
- **Data:** China MSCI ETF total return ~31% in 2025.
- **Data:** Europe ETF total return ~35.6%; Japan EWJ ~25.8%.
- **Data:** India total return ~2.7%; Saudi Arabia (KSA) ~-8.2%.
- **Data:** 297 stocks >$5B market cap up >100% in 2025.
- **Claim:** China had 81 companies >$5B up 100%+ vs US 43.
- **Claim:** Effective tariff rate now 17% (Wells Fargo), likely settling at 15% vs 2% pre-2025.
- **Claim:** SK Hynix, Western Digital, Lam Research up 300-400% in 2025.
- **Claim:** OpenAI raising $100B at $800B valuation (reported December).
- **Claim:** 57% of investors cite AI bubble as top 2026 risk; only 9% cite US recession.
- **Claim:** Corporate profits soaring while labor market weakening for 12-18 months (Dan Krauss research cited).
- **Claim:** Alex Campbell thesis: silver demand destruction doesn't start until $125.

6) BS & Bias Filter

- **Incentives:** Sponsored mention of Fiscal AI (Max's company); bias toward international equity research platform utility.
- **Blind Spots:** Limited discussion of valuation risk vs earnings quality outside AI complex; tariff lag effects mentioned but not quantified.
- **Track Record / Hit-Rate:** Jack admits being wrong on tariff severity in 2025 (expected more damage); no formal hit-rate provided.
- **Consensus Check:** Pushes back on "US-only dominance" narrative; mildly contrarian on recession risk being underpriced.
- **Sample Bias:** Strong focus on equities and total return ETF comparisons; less on fixed income or credit.

7) PM Bottom Line

Action → Tilt Ex-US + Stay Long AI Supply Chain

Global 2025 returns show meaningful ex-US leadership once FX is accounted for (ACWI beat S&P by 400bps), and AI capex remains the dominant cyclical driver while funding conditions stay loose. The profit-labor divergence is a new regime—don't auto-sell on weak payrolls if earnings hold. Keep US exposure but rebalance toward ex-US beta (EM, Korea, Europe) and AI infrastructure (memory semis, not hyperscalers). Precious metals streamers offer asymmetric upside with downside protection. **Key watches:** USD trend, OpenAI/VC funding headlines, payroll growth vs earnings, tariff transmission to margins.